

Satyam's Big Lie

Year 2009 started on an upbeat note, with the Sensex surging 256 points in the first trading session. It gained another 350 points over the next three days, and everything seemed to be looking up when disaster struck again. This time, it had nothing to do with the chaos in the global financial markets.

On 7 January, before the market opened for trading, B. Ramalinga Raju, founder of Satyam Computer Services, wrote to SEBI and the stock exchanges confessing that he had been cooking the company's books for the last few years by showing non-existent revenues and bank balances. His confession was the final nail in the coffin for the company, which had been in the eye of a shareholder storm when it floated a proposal to acquire stakes in Maytas Properties and Maytas Infra the month before.

Raju's admission sent the Satyam stock crashing by 83 per cent, to Rs 30, from the previous day's closing price of Rs 179. Panicky investors dumped shares fearing that it was only a matter of time before the company would go belly up. The stock finally ended the day at Rs 40.

There was a sense of vindication among fund managers who had always steered clear of the stock and among analysts who were forever bearish on it. For a long time now, this minority group had been of the view that the Satyam story would have a bad ending. Despite being the fourth largest IT services company in India, after TCS, Infosys and Wipro, Satyam had not quite been able to convince the market about its corporate governance and accounting standards. Its PE multiple was always lower than that of its peers. In other words, even those who bought Satyam shares were reluctant